

THE SKILL GAP



Experts say nearly 80% of employers struggle to find skilled workers



High automation industries require the most skilled workers



Schemes like PMIS and Employees Linked Incentive seem to be making limited success in skilling workers



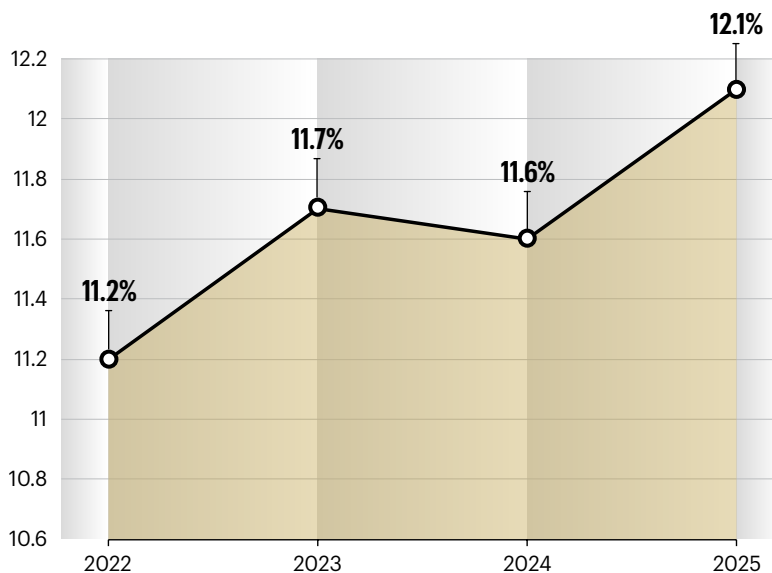
Increase in number of ITIs has not led to better vocational training



Contractual nature of work for most shop-floor employees means little interest in skilling

JOBS ON THE RISE

● The share of workers in manufacturing has started going up since 2024



SOURCE PLFS ANNUAL REPORT 2025

given, and an even fewer internships were taken up.

The Employment-Linked Incentives under the PM Viksit Bharat Rozgar Yojana has led to some formal employment. According to data with the ministry of labour and employment, incentives worth ₹744.7 crore have been disbursed to 1.3 million first-time employees, and another ₹2,068.84 crore has been disbursed to 83,535 beneficiary establishments.

On the other side of the spectrum, shop floor workers often call out long working hours, poor working conditions, and low wages as disincentives. The recent unrest in industrial belts in parts of the country is a case in point. Average wages in India are around ₹15,000 per month for factory workers, compared to about ₹50,000 per

month, if not more, in China.

Experts agree these are challenges that need to be addressed, but underline that the priority is to first make manufacturing more competitive and attractive, which will then create more jobs for workers. The contractual nature of these jobs also acts as a disincentive to better skilling.

Amit Basole, Professor of Economics at Azim Premji University, says the supply of skilled workers to companies needs to increase and at the same time, we need better paying jobs to make manufacturing jobs more aspirational.

“There are two key aspects that need to be addressed. We need to create a policy climate where manufacturing is more competitive and people want to set up factories in the country, which will help

provide jobs. Once the compliance burden reduces and there is more productivity and efficiency, companies will have the room to perhaps give better wages,” he says.

The government also needs to nudge companies to ensure they pay at least minimum wages, because in a country with surplus labour force like India, it is easy to get low-paid workers, says Basole.

New floor wages are expected to be set soon under the recently implemented Labour Codes that officials say will address this issue.

Going ahead, there needs to be a balance between the requirements of industry and aspirations of workers to make ‘Make in India’ not only viable but also attractive and sustainable. **BT**

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